WAVERLEY GATEWAY GUIDE

Connecting International Capital

UNITED KINGDOM

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
London	Global financial centre and Europe's leading destination for technology investment, home to the London Stock Exchange, the Bank of England and most international headquarters	Financial and professional services, technology, AI, creative industries
Greater Manchester and the North West	Named the top UK city for foreign investment after London in EY's 2026 survey, with strong universities and digital clusters	Digital and tech, advanced manufacturing, professional services
West Midlands (Birmingham)	A leading UK region for foreign investment projects and job creation, at the centre of the national transport network	Automotive and EVs, advanced manufacturing, business services
Oxford–Cambridge corridor	World-class universities and science parks driving life-sciences and deep-tech investment	Life sciences, AI, quantum, deep tech
Scotland (Edinburgh, Glasgow, Aberdeen)	Foreign investment attractiveness at record levels in 2026, with financial services in Edinburgh and offshore energy expertise in Aberdeen	Offshore wind, energy transition, financial services, space
Northern Ireland	Recorded strong growth in FDI projects in 2025, with access to both the UK and EU goods markets under the Windsor Framework	Cyber security, fintech, advanced manufacturing

INVESTOR ENTRY ROUTES

- The Office for Investment, working with the Department for Business and Trade, supports major foreign investments with dedicated account management, and regional agencies provide local support
- National Security and Investment Act 2021: mandatory notification for acquisitions in 17 sensitive sectors, reviewed by the Cabinet Office's Investment Security Unit; 95.6% of notifications in 2025/26 were cleared without further action
- Corporation tax at a main rate of 25% (19% for small profits), confirmed in the October 2026 Budget, with full expensing for plant and machinery and a first-year allowance rising to 50% from January 2027
- Freely convertible pound sterling and no capital controls, with free repatriation of profits and capital
- Listings on the London Stock Exchange and access to one of the world's deepest capital markets

- Freeports and Investment Zones in England, Scotland and Wales offering tax and customs incentives for qualifying investments
- Over 70 trade agreements, including the UK–India Comprehensive Economic and Trade Agreement in force since 15 July 2026 and membership of the CPTPP

MARKET-ENTRY OBSERVATION

The United Kingdom remains one of the world's most open and attractive investment destinations, ranking second in Europe for foreign direct investment projects in 2025 with 730 projects and the highest number of FDI-related jobs, 28,867, of any European country. The United States accounted for 25% of projects and India 10%, and the UK led Europe for technology investment. GDP grew 0.5% quarter-on-quarter and 1.4% year-on-year in the second quarter of 2026, led by information and communication and professional services, and the Office for Budget Responsibility forecasts growth of 1.2% in 2026. Trade policy is opening new markets: the UK–India agreement entered into force on 15 July 2026, and a UK–Gulf Cooperation Council deal concluded in May 2026 is expected to add £3.7 billion a year to the economy in the long run.

The UK's main structural challenge is combining fiscal discipline with stronger growth as higher energy prices push up inflation. CPI inflation rose to 3.5% in September 2026, and the Bank of England raised Bank Rate to 4% on 5 November 2026. Andy Burnham became Prime Minister in July 2026, and Chancellor John Healey's first Budget on 28 October 2026 kept corporation tax at 25%, raised the first-year capital allowance to 50% and introduced a new Founders' Relief, while the OBR cut fiscal headroom to £15 billion and projects borrowing falling from 4.2% of GDP in 2026 to 2.1% in 2029/30. A stable tax roadmap, independent institutions, deep capital markets and a resetting of relations with the EU underpin long-term resilience and create opportunities in energy, technology and infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Inflation and interest rates	Inflation reached 3.5% in September 2026 and the OBR expects a peak of 3.8% in early 2027; Bank Rate rose to 4% in November	An independent Bank of England targets 2% inflation; plan financing and wage costs for a higher-rate period
National security screening	Acquisitions in 17 sensitive sectors require mandatory approval; 60 deals were called in and 9 final orders issued in 2025/26	Notify early, take specialist advice and engage the Investment Security Unit; most deals clear within 30 working days
Fiscal pressures and tax changes	Fiscal headroom fell to £15 billion and the October 2026 Budget raised the bank surcharge and cut the main writing-down allowance to 12%	Main corporation tax rates are fixed at 25% and 19%; model capital allowances and sector-specific measures
Political change	The UK has had a change of Prime Minister and Chancellor in 2026, and investors cite political stability as a concern	A large parliamentary majority and strong institutions support policy continuity; follow the UK–EU summit and industrial strategy
Post-Brexit trade friction	Goods trade with the EU faces customs and regulatory checks, and EU carbon border measures affect about £7 billion of UK trade	The UK–EU reset, including emissions-trading linkage talks, aims to reduce friction; use Northern Ireland for dual market access
Planning and grid connections	Planning consents and grid connections can delay energy, data-centre and infrastructure projects	Engage early with local authorities and network operators, and use Investment Zones and Freeports

INVESTOR RISK NOTE

The United Kingdom offers investors deep capital markets, the rule of law, an independent central bank and a well-established framework for foreign investment. The main near-term issues are inflation, which reached 3.5% in September 2026, a higher Bank Rate of 4%, and tight public finances, with the OBR expecting net debt to peak at around 97% of GDP in 2028/29. Investors in sensitive sectors must notify acquisitions under the National Security and Investment Act; the regime is transparent and the vast majority of transactions are cleared, but early legal

advice is essential. The UK applies extensive sanctions against Russia and other jurisdictions, and holds the FATF Presidency, with strong anti-money-laundering standards. Overall the UK remains a low-risk, highly liquid market, and a new Prime Minister and Chancellor have maintained the commitment to stable business taxes.

MARKET ACCESS

The United Kingdom is a WTO member outside the EU, with tariff-free trade in goods with the EU under the Trade and Cooperation Agreement, and a reset of EU relations under way, including talks on linking emissions-trading systems ahead of a UK–EU summit later in 2026. The UK has over 70 trade agreements, is a member of the CPTPP, and its trade agreement with India entered into force on 15 July 2026; a UK–GCC agreement was concluded in May 2026 and awaits signature. The United States, the EU, China and India are major trading partners, and the 2025 UK–US Economic Prosperity Deal reduced some US tariffs on UK goods. Northern Ireland offers unique access to both the UK and EU goods markets under the Windsor Framework, and ports such as Felixstowe, Southampton and Liverpool connect the UK with global markets.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Prime Minister Andy Burnham)	Sets the government's economic and foreign-policy direction, including the UK–EU reset; Andy Burnham became Prime Minister in July 2026	Primary reference point for strategic direction and major projects
Office for Investment and Department for Business and Trade	Lead government support for large foreign investments, industrial strategy and trade negotiations	First point of contact for strategic investments and sector deals
Bank of England	Independent central bank; raised Bank Rate to 4% on 5 November 2026 and regulates banks through the Prudential Regulation Authority	Relevant for rates, financial stability and banking supervision
HM Treasury (Chancellor John Healey)	Sets fiscal and tax policy; delivered the 28 October 2026 Budget	Key counterpart on tax, fiscal and financial-services policy
Cabinet Office – Investment Security Unit	Reviews acquisitions under the National Security and Investment Act; received 1,324 notifications in 2025/26	Essential for transactions in sensitive sectors
Financial Conduct Authority	Regulates financial-services firms and markets, including listings	Licensing and conduct requirements for financial-services investors
National Wealth Fund and British Business Bank	Public investment institutions co-investing with private capital in infrastructure, clean energy and growth companies	Co-investment partners for major projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Confederation of British Industry, the British Chambers of Commerce, TheCityUK and techUK are the main business and sector bodies, with regular dialogue with government on tax, trade and regulation. Bilateral chambers such as BritishAmerican Business and the UK India Business Council support investors from key source markets, and regional growth and investment agencies, including Scottish Development International and Invest Northern Ireland, provide local support. Government-led events such as investment summits, and the UK's trade envoy and embassy networks, are useful for introductions, while the National Wealth Fund and British Business Bank offer co-investment.

INVESTOR PROFILE BEST SUITED

The United Kingdom suits a wide range of investors: financial-services, fintech and asset-management firms using London's capital markets; technology, AI and life-sciences companies drawing on world-class universities in London, Oxford, Cambridge, Manchester and Edinburgh; energy investors targeting offshore wind, grids and nuclear; and manufacturers and logistics firms using Freeports, Investment Zones and new trade agreements with

India and the Gulf. Investors in sensitive sectors such as defence, energy, data and advanced technology should plan for National Security and Investment Act notification.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Office for Investment and the Department for Business and Trade
For significant projects, seek account management and support on sites, skills and regulation, and engage regional investment agencies.

STEP 2: Screen the transaction under the National Security and Investment Act
Check whether the target falls within the 17 mandatory sectors, including planned changes for water, critical minerals and semiconductors, and notify early.

STEP 3: Model the tax position after the October 2026 Budget
Take advice on corporation tax, full expensing and the new 50% first-year allowance, and on Freeport and Investment Zone incentives.

STEP 4: Use new trade agreements
Map opportunities under the UK–India agreement, the CPTPP and the UK–GCC deal, and track the outcome of the UK–EU summit.

STEP 5: Plan for higher rates and costs
Build Bank Rate, inflation and energy-price scenarios into financing and operating plans for 2027.